

Group 2 | Strategy

Strategic Priorities at VW

Challenges Impacting Performance



Table of contents.

Company Overview & Financial Profile

Introduction to VW
Balance Sheet
Peer comparison

3
4
5

Internal Analysis

Strategy Map
Value Chain
VRIO

10
11
12

External Analysis

Porter's Five Forces
PEST-Analysis

7
8

SWOT & TOWS

SWOT
TOWS
Prioritization

14
15
16

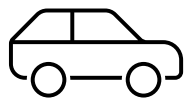
Volkswagen stands as a globally diversified automotive leader with strong regional balance, robust segment breadth, and solid EBITDA margins

Company overview ⁽¹⁾

- Volkswagen is one of the world's largest automotive groups, headquartered in Wolfsburg and built around a multi-brand portfolio spanning mass-market, premium, and performance vehicles, as well as commercial and mobility services.
- The group operates an extensive global production footprint, with major facilities in Europe, China, and the Americas, supporting sales in over 150 countries and providing strong scale advantages across key markets.
- Volkswagen is advancing a large-scale transformation program, investing in electrification, software platforms, and battery technology while facing profitability pressures and intensifying EV competition from Tesla and Chinese manufacturers.

Segments ⁽¹⁾

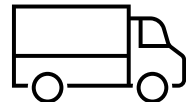
Automotive



c. 85% of Sales^(a)

Produces a broad portfolio of passenger vehicles across multiple global brands and segments

Commercial & Mobility



c. 11% of Sales^(a)

Provides trucks, buses and integrated fleet mobility solutions for global commercial customers

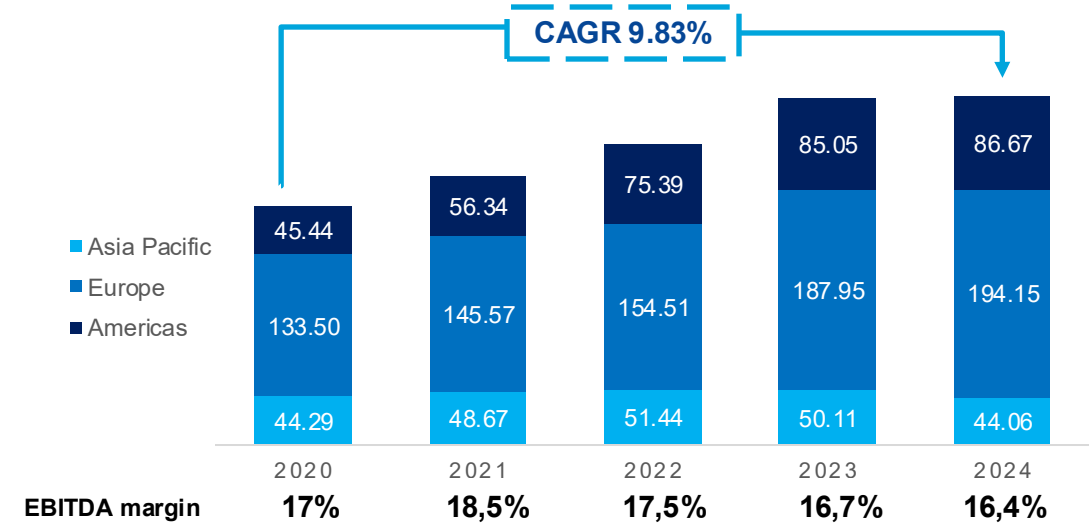
Financial & Battery Services



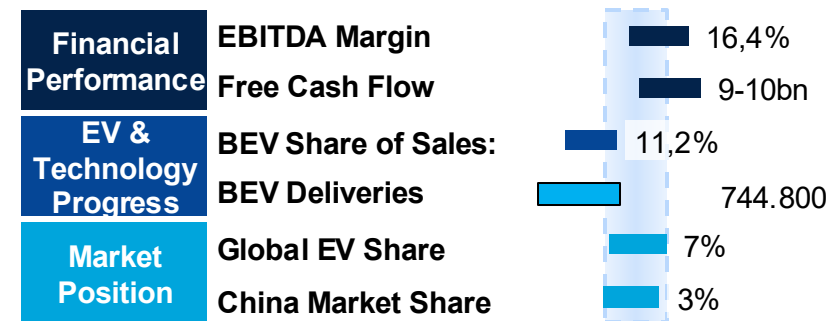
c. 4 % of Sales^(a)

Offers financing, leasing, insurance and mobility products supporting global vehicle sales

Revenue split by region (EUR bn) ⁽²⁾



Indicative valuation range (EUR)



Volkswagen delivers stable revenues but faces increasing margin pressure once more in 2024

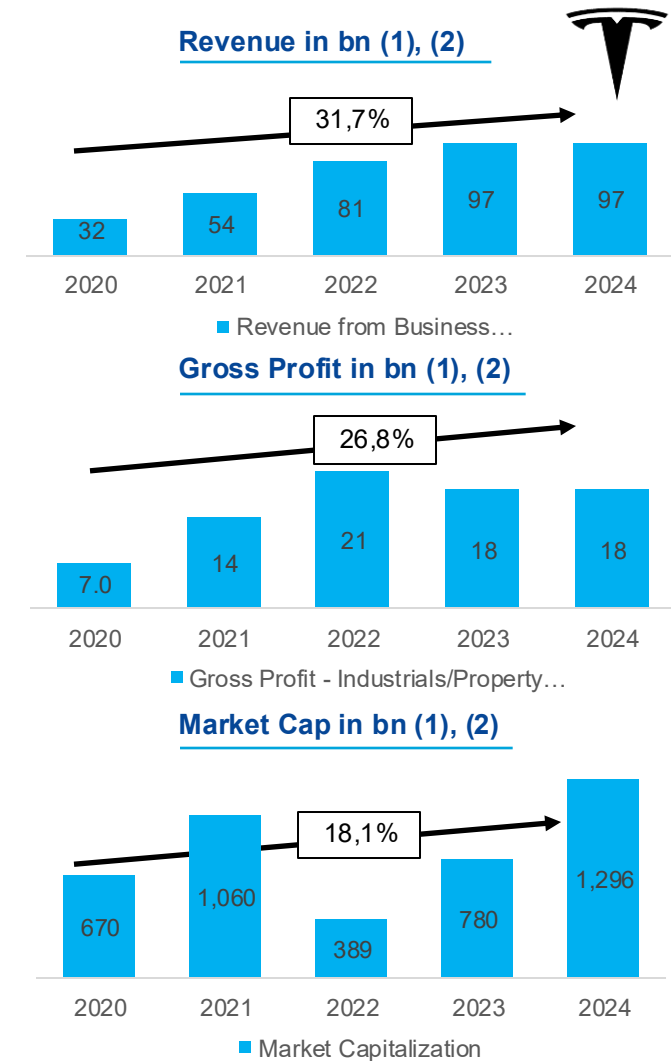
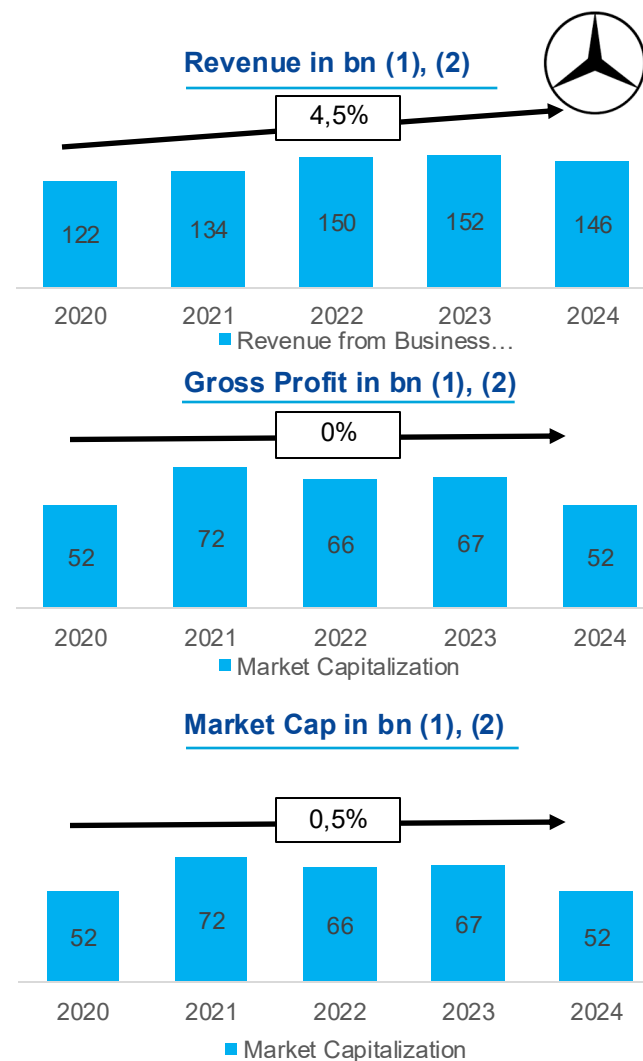
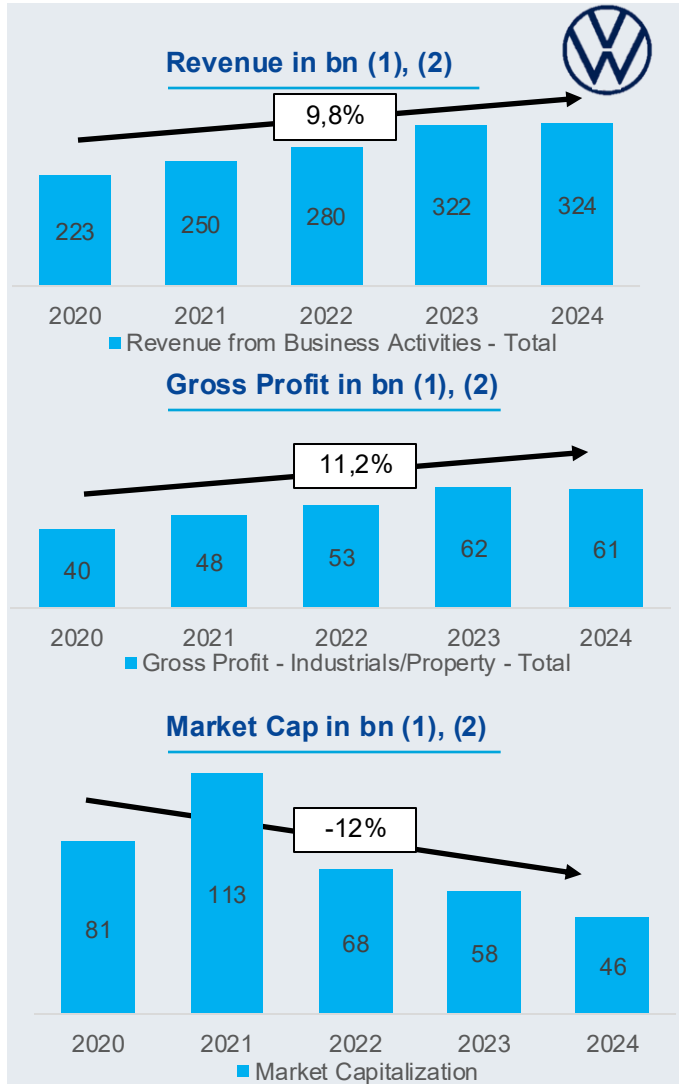
Volkswagen Financial KPI's

	Actual 2023 ¹	Actual 2024
Deliveries to customers (units) ①	9,2 million	9,0 million
Volkswagen Group		
Sales revenue ②	€322,3 billion	€324,7 billion
Operating return on sales ③	7,0%	5,9%
Operating result ④	€22,5 billion	€19,1 billion
Passenger Cars Business Area		
Sales revenue	€218,4 billion	€215,4 billion
Operating return on sales ⑤	6,7%	5,3%
Operating result	€14,7 billion	€11,4 billion
Commercial Vehicles Business Area		
Sales revenue	€45,7 billion	€46,2 billion
Operating return on sales	8,1%	9,1%
Operating result	€3,7 billion	€4,2 billion
Power Engineering Business Area		
Sales revenue	€4,0 billion	€4,3 billion
Operating result	€366 million	€335 million
Financial Services Division		
Sales revenue	€54,1 billion	€58,8 billion
Operating result	€3,8 billion	€3,1 billion
Automotive investment ratio	13,5%	14,3%
Net cash flow in the Automotive Division ⑥	€10,7 billion	€5,0 billion
Net liquidity in the Automotive Division	€40,3 billion	€36,1 billion

Comments

- ① Customer deliveries slightly declined from 9.2m → 9.0m, indicating softer demand and increased competitive pressure, particularly in the mass-market segment
- ② Group sales revenue remained stable (EUR 322.3bn → 324.7bn, +0.7%), showing resilience despite lower unit deliveries
- ③ Operating return on sales weakened (7.0% → 5.9%), reflecting margin pressure from higher production costs and slower price/mix improvements.
- ④ Group operating result decreased materially (EUR 22.5bn → 19.1bn), driven primarily by lower profitability in the Passenger Cars division.
- ⑤ Passenger Cars segment margin dropped (6.7% → 5.3%), signaling heavier competition in EVs and continued cost challenges in legacy platforms.
- ⑥ Net cash flow and liquidity in Automotive weakened (Cash flow EUR 10.7bn → 5.0bn, Liquidity 40.3bn → 36.1bn), indicating higher investment needs and working-capital outflows.

Growth Stabilizing, but Profitability and Valuation Lag Behind Faster-Moving Competitors like Tesla



External Analysis



1

Porter's Five Forces

2

PEST-analysis

Volkswagen faces strong competitive pressure across the EV transition

Threat of New Entrants (Low)

- EVs lower entry barriers
- New entrants backed by large funding
- China accelerates entry (state support, battery capacity)
- Scaling still requires massive capex and global infrastructure



Bargaining Power of Buyers (High)

- Many close brand substitutes
- High price sensitivity
- Strong online price transparency
- Wide EV model availability



Rivalry among Existing Competitors Very High

- Intense competition
- Strong price pressure in China
- Rapid innovation

Bargaining Power of Suppliers (High)

- Dependence on semiconductors, batteries, and software suppliers
- Highly concentrated supplier markets; few alternatives
- High switching costs due to testing and integration
- CARIAD delays increased reliance on external partners



Threat of Substitutes (Moderate)

- Shared & public mobility reduces car need
- Micro-mobility replaces short trips
- Alternatives delay car purchases



Source(s): BCG Matrix (2024). *Volkswagen Porter's Five Forces Analysis*.

[Trends in electric car markets – Global EV Outlook 2025 – Analysis - IEA](#)

[2024 \(Full Year\) Europe: Best-Selling Car Manufacturers and Brands - Car Sales Statistics](#)

[\(PDF\) Evaluating Volkswagen's Current Market Position and Future Prospects for Growth in a Rapidly Electrifying Automotive Industry](#)

Political, economic, social, and technological forces push Volkswagen toward accelerated electrification and stronger digital capabilities

Political

- Euro 7 regulations increases development pressure
- EU climate policy accelerates electrification
- EU-tariffs built on China create uncertainty
- EU-China tensions affect joint venture production

Economic

- Rising material and production costs
- Declining EV market growth in Europe
- Operational restructuring and cost reductions
- Price pressure from Chinese EV competitors (NIO, BYD)

Social

- Growing consumer preference for sustainable mobility
- Concerns about EV affordability & charging access
- Increasing demand for continuous digital experience
- Ongoing need to rebuild trust after “Dieselgate”

Volkswagen Group

Technological

- Development of next-gen EV platforms (reduce costs)
- Fixing software-integration issues
- Expanding autonomous-driving partnerships
- Advancing battery innovation

(Key) trend 1: Accelerated electrification driven by regulatory & technological pressure



(Key) trend 2: Growing demand for high-quality digital experience & reliable software

Internal Analysis



1

Strategy Map

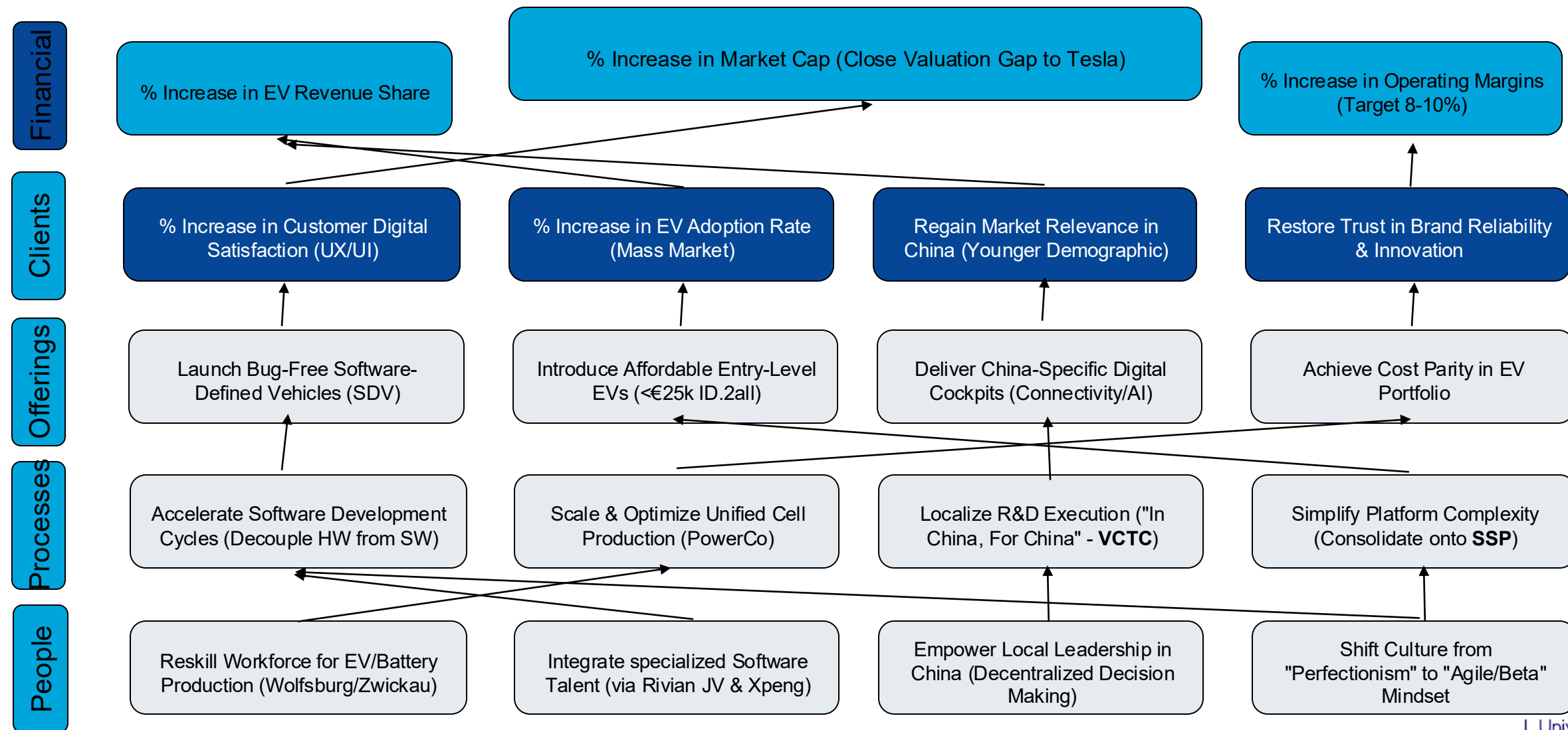
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Value Chain

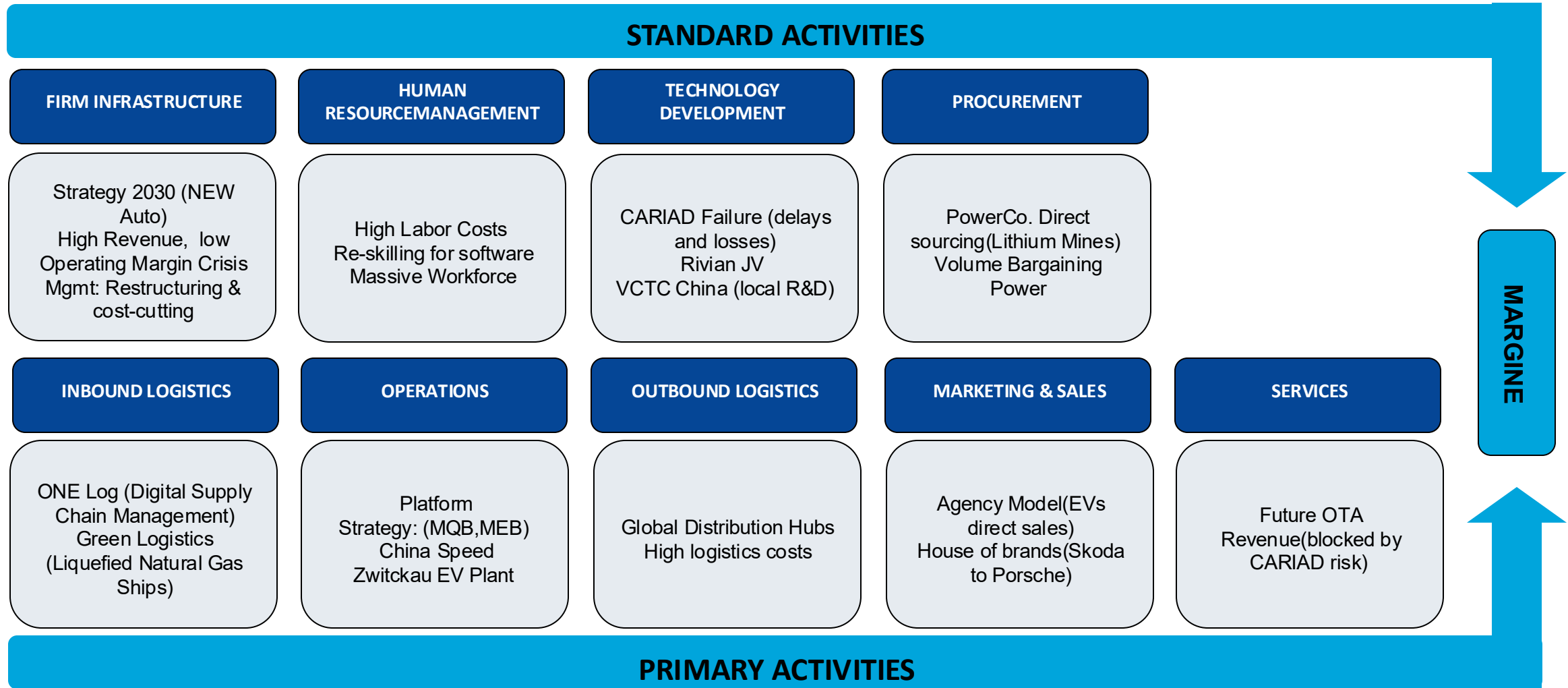
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VRIO

How we translate our high-level vision into specific, actionable steps across the organization



VW's Value Chain: Strong Scale, Weak Software



Volkswagen's internal strengths and weaknesses relate to its external opportunities and threats

Resource / Capability	Valuable?	Rare?	Imitable?	Organized?	Strategic Implication
Brand Portfolio & Global Scale	Yes	Yes	No	Yes	Competitive Advantage This is why Revenue is stable (€324bn) despite the crisis. The scale (9M units) provides the cash flow to fund the transition.
Proprietary Software Stack (CARIAD)	Yes	No	Yes	No	Competitive Disadvantage: Delays and lack of "Agile" culture caused the margin drop to 5.9%. Fix: The Rivian JV is the "Organizational" fix to stop this bleeding.
Cost Structure (Battery/EV)	No	No	No	Yes	Competitive Disadvantage: VW is now organized (PowerCo), but this capability is not Rare (Tesla/BYD are ahead). Thus, it creates <i>parity</i> (survival), not yet a premium margin advantage.
China Market Agility ("In China, For China")	Yes	No	Yes	No -> Yes	Unused Competitive Advantage: VW has the market presence (Valuable) but lacked the Organization (VCTC) to move fast. This caused the China delivery decline (-9.5%) .

SWOT/ TOWS



1

SWOT

2

TOWS

3

Prioritization

Volkswagen's internal strengths and weaknesses relate to its external opportunities and threats

Strength

- S1:** Diverse brands: from affordable to luxury
- S2:** Efficient production: modular platforms cut costs and speed output
- S3:** Strong engineering expertise
- S4:** Operations worldwide allow for rapid market expansion

Weaknesses

- W1:** Reputation & trust Issues: legacy problems still longer
- W2:** Slow adoption of software and digital features
- W3:** Bureaucratic decision-making reduces agility
- W4:** Weak performance in electric-vehicle transition

Opportunities

- O1:** Expand EV lineup with latest modular platforms and tech
- O2:** Lead in sustainable mobility and carbon-neutral production
- O3:** Develop smart, connected, and autonomous car services
- O4:** Strategic partnerships in batteries, AI, and software

Threats

- T1:** Intense competition from traditional and EV-first companies
- T2:** Tightening Environmental Regulations
- T3:** Supply Chain Instability
- T4:** Rapid Technology Shifts

Volkswagen use its strengths to size its opportunities and mitigate risks, while addressing weaknesses to stay competitive in the evolving automotive market

SO (Strengths + Opportunities)	Action Ideas SO1: Scale EV Platforms Use Volkswagen's modular production (S2) to rapidly expand the EV lineup (O1). Standardize EV components globally (battery packs, motors, software) to cut costs and launch EVs in every key segment. SO2: Brand Portfolio for Sustainability Leadership Leverage diverse brands (S1) to lead in carbon-neutral mobility (O2). Position Audi/Porsche as premium zero-emission leaders and VW/Skoda/SEAT as affordable green mobility, all with carbon-neutral manufacturing	ST (Strengths + Threats)	Action Ideas ST1: EV Affordability vs Competition Use efficient production (S2) to fight EV-first competitors (T1). Launch a sub-€25,000 EV on the MEB platform to establish mass-market dominance. ST2: Renewable Production vs Regulations Use global operations (S4) to meet tightening regulations (T2). Shift major plants to renewable energy and low-carbon supply chains to avoid emissions penalties.
WO (Weaknesses + Opportunities)	Action Ideas WO1: Tech Partnerships to Fix Software Use partnerships (O4) to address slow software adoption (W2). Adopt proven tech stacks (Qualcomm/NVIDIA/Android Automotive) instead of building full in-house OS. WO2 : Focus Investments on EV Models Use the growing EV market (O1) to fix weak EV performance (W4). Allocate R&D spending to electric vehicles and reduce combustion engine funding to below 20% within the next 3 years.	WT (Weaknesses + Threats)	Action Ideas WT1: Simplify Decision Structure Address bureaucracy (W3) to keep pace with rapid tech shifts (T4). Create a smaller, autonomous digital and EV division with direct board access, reducing layers of approval WT2: Localize Supply Chains Fix operational weakness (W2/W3) to avoid supply instability (T3). Build regional battery/chip supply in Europe & North America to reduce dependence on single-region sourcing.

The most important activities in accordance to strategic priority

Prioritized based on urgency, impact on growth, and feasibility (H, M, L) derived from strategic assessment of VW's capabilities and market conditions

Focused on activities that drive EV growth, innovation, and market expansion to ensure competitiveness, agility, and efficient scaling in key markets and technologies

ACTION	URGENCY	GROWTH IMPACT	FEASIBILITY	STRATEGIC PRIORITY
SO1 – SCALE EV PLATFORMS	H	H	M	HIGH
SO2 – SUSTAINABLE BRAND POSITIONING	L	M	H	LOW
ST1 – SUB-€25K EV	H	H	M	HIGH
ST2 – RENEWABLE PRODUCTION SHIFT	M	L	M	LOW
WO1 – TECH PARTNERSHIPS (SOFTWARE)	H	H	H	HIGH
WO2 – EV R&D ALLOCATION	M	H	M	MEDIUM
WT1 – SIMPLIFY DECISION STRUCTURE	L	M	L	LOW
WT2 – LOCALIZE SUPPLY CHAINS	M	M	L	MEDIUM

- WO1 – Tech Partnerships to Improve Software:** VW's software is outdated and lacks advanced features, so it must improve to stay competitive with Tesla, BYD, and other EV brands.
- ST1 – Launch Sub-€25,000 EV:** VW currently has no strong mass-market EV, so it must launch one to protect sales and market share.

Budget Allocation

If total strategic investment = **100%**, then:

ACTION	BUDGET
WO1 – SOFTWARE PARTNERSHIPS	40%
ST1 – AFFORDABLE EV	35%
SO1 – EV PLATFORM SCALE	15%
WO2 – EV R&D FOCUS	5%
OTHERS (SO2, ST2, WT1, WT2)	5%

THANK YOU!